

1 ENGROSSED HOUSE
2 BILL NO. 4273

By: Miller of the House

3 and

4 Rader of the Senate

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7 [income tax - credit - employees - aerospace -
8 higher education - effective date]
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13 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

14 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2357.301, as
15 amended by Section 1, Chapter 313, O.S.L. 2024 (68 O.S. Supp. 2025,
16 Section 2357.301), is amended to read as follows:

17 Section 2357.301. As used in Sections 2357.301 through 2357.304
18 of this title:

19 1. "Aerospace sector" means a private or public organization
20 located in this state and engaged in the manufacture of aerospace or
21 defense hardware or software, aerospace maintenance, aerospace
22 repair and overhaul, supply of parts to the aerospace industry,
23 provision of services and support relating to the aerospace
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1 industry, research and development of aerospace technology and
2 systems and the education and training of aerospace personnel;

3 2. "Compensation" means payments in the form of contract labor
4 for which the payor is required to provide a Form 1099 to the person
5 paid, wages subject to withholding tax paid to a part-time employee
6 or full-time employee or salary or other remuneration. Compensation
7 shall not include employer-provided retirement, medical or health-
8 care benefits, reimbursement for travel, meals, lodging or any other
9 expense;

10 3. "Institution" means an institution within The Oklahoma State
11 System of Higher Education or any other public or private college or
12 university that is accredited by a national accrediting body;

13 4. "Qualified employer" means a sole proprietor, general
14 partnership, limited partnership, limited liability company,
15 corporation, other legally recognized business entity or public
16 entity whose principal business activity involves the aerospace
17 sector, or a four-year institution of higher education with an R1
18 research designation that has a research, innovation, and education
19 institute dedicated to aerospace research and technology;

20 5. "Qualified employee" means any person, regardless of the
21 date of hire, employed in this state by or contracting in this state
22 with a qualified employer on or after January 1, 2009, who was not
23 employed in the aerospace sector in this state immediately preceding
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1 employment or contracting with a qualified employer, and who has
2 been either:

- 3 a. awarded an undergraduate or graduate degree from a
4 qualified program by an institution, or
- 5 b. licensed as a Professional Engineer by the State Board
6 of Licensure for Professional Engineers and Land
7 Surveyors pursuant to Section 475.15 of Title 59 of
8 the Oklahoma Statutes.

9 Provided, the definition shall not be interpreted to exclude any
10 person who was employed in the aerospace sector, but not as a full-
11 time engineer, prior to being awarded an undergraduate or graduate
12 degree from a qualified program by an institution or any person who
13 has been awarded an undergraduate or graduate degree from a
14 qualified program by an institution and is employed by a
15 professional staffing company and assigned to work in the aerospace
16 sector in this state.

17 Provided, the definition of qualified employee for an individual
18 employed or under contract with an institution of higher education
19 located within this state that has an R1 research designation and
20 that has a research and education institute dedicated to aerospace
21 research and technology only applies to those individuals actively
22 working within a research, innovation, and education institute
23 dedicated to aerospace research and technology.
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Beginning on or after January 1, 2024, the definition shall also not be interpreted to exclude any person (1) who previously qualified and established the credit against the tax imposed pursuant to Section 2355 of this title and becomes employed by a different qualified employer, or (2) who establishes the credit against the tax imposed pursuant to Section 2355 of this title for the first time and becomes employed by a different qualified employer in subsequent years, provided a person in either case has not claimed the credit for the lifetime maximum of five (5) years;

6. "Qualified program" means a program at an institution that includes a graduate or undergraduate program that has been accredited by the Engineering Accreditation Commission of the Accreditation Board for Engineering and Technology (ABET) and that awards an undergraduate or graduate degree. Both the undergraduate and graduate programs of the same discipline of engineering at an institution shall be part of the qualified program if either program is ABET accredited; and

7. "Tuition" means the average annual amount paid by a qualified employee for enrollment and instruction in a qualified program. Tuition shall not include the cost of books, fees or room and board.

SECTION 2. This act shall become effective January 1, 2027.

1 Passed the House of Representatives the 9th day of March, 2026.

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4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the ____ day of _____, 2026.

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9 Presiding Officer of the Senate